

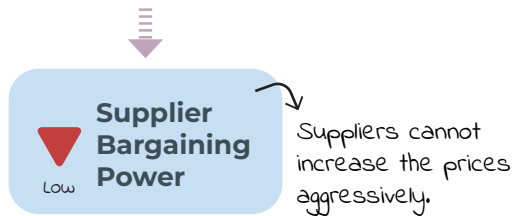
Importance of Volume to Suppliers

(High/Moderate/Low)

Some suppliers they only make profit when they produce in large volumes. Volume is very important to them.



In such industries, supplier cannot afford to lose volume.



Payment Power With Buyer (Trade Credit Given)

Credit Period	Supplier Power
Shorter Credit Duration	 Supplier Bargaining Power High
Longer Credit Duration	 Supplier Bargaining Power Low

Payment terms are one of the clear indicators of supplier power over the industry. Shorter credit duration means high supplier power, whereas long and undisciplined credit duration means low supplier power. A high supplier power makes the industry less attractive as the suppliers have an impact on the industry's profitability. We need to evaluate the industry using above questions and see if suppliers can suck out most of the profitability from the industry.